

In It Together:

How Company Performance Transmits Through Supply Chains

December 2025

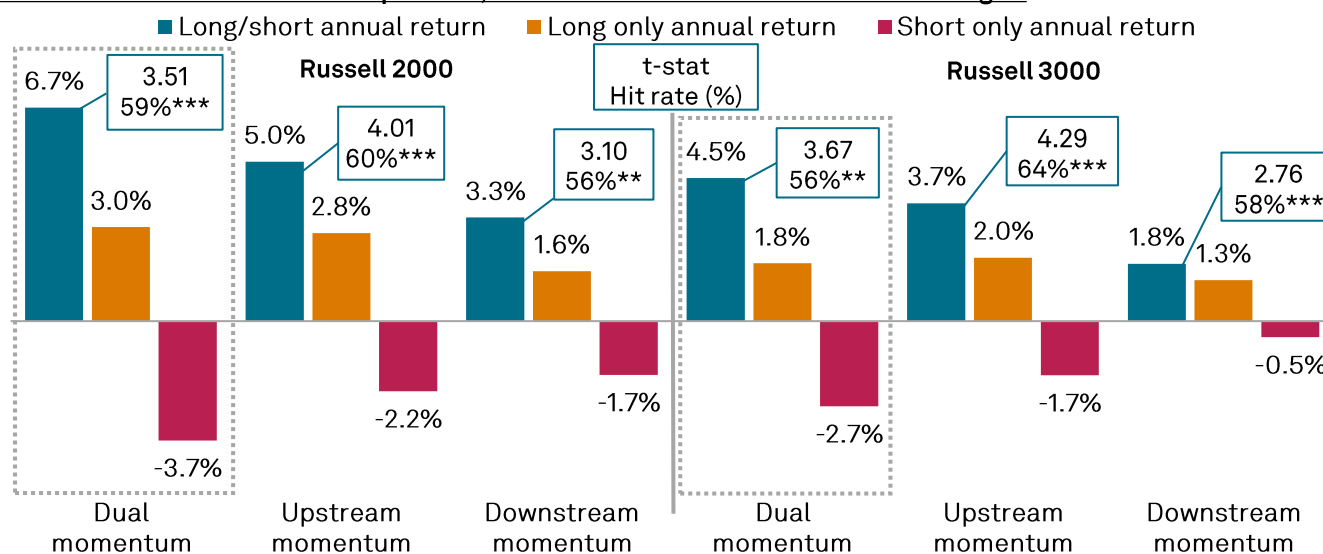
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Supply chains transmit information before markets price it. Customer performance reveals emerging demand, and supplier performance reveals capacity and execution risk. These directional spillovers move through networks in predictable ways. When customers are getting stronger, suppliers see order flow and revenue visibility improve. When suppliers are stable and delivering reliably, customers maintain margins and avoid operational bottlenecks. Both channels matter. When both directions turn positive at the same time, the effect compounds: companies benefit from improving demand and a supply base capable of supporting it.

Excess Return Performance of Upstream, Downstream and Dual Momentum Strategies



Russell Universes | January 2005–August 2025

As of Sept. 30, 2025.

*** Significant at the 1% level; ** Significant at the 5% level; * Significant at the 10% level (See Appendix for full description)

For all exhibits, all returns and indices are unmanaged, statistical composites and their returns do not include payment of any sales charges or fees an investor would pay to purchase the securities they represent. Such costs would lower performance. It is not possible to invest directly in an index. Past performance is not a guarantee of future results. Source: S&P Global Market Intelligence © 2025 S&P Global

This paper measures these directional spillovers and shows that markets systematically underreact to them. Companies with strong customer momentum, supplier momentum, or both, generate persistent and statistically significant excess returns across two decades of US equity data.

Key findings in the US market since 2005:

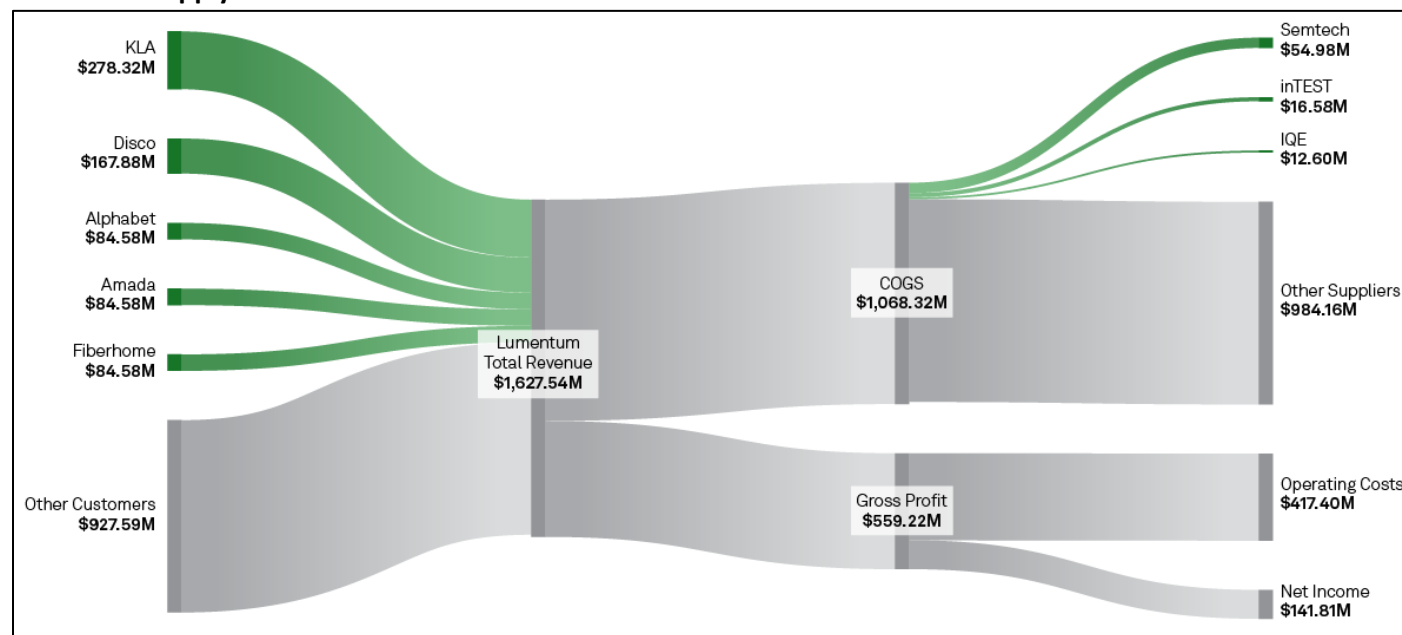
- **Supply chain spillover is economically meaningful:** Upstream momentum (customer demand transmission) and downstream momentum (supplier health transmission) generate statistically significant excess returns of 3.6% and 2.0%, respectively, in the Russell 3000.
- **Bidirectional confirmation strengthens the signal:** Dual momentum — positive upstream and positive downstream — produced 4.5% annual long-short returns in the Russell 3000 and 6.7% in the Russell 2000, representing 90 bps and 190 bps improvement, respectively, over upstream momentum alone.
- **Supply chain spillover front-runs analyst revisions:** Companies in the highest spillover tier were 7% more likely to receive upward analyst revisions than those in the lowest tier, indicating the signal captures real forward demand.

1. Introduction: Lumentum Case Study

While AI is dominating the market narrative and captures most of the excitement, investors are still searching for exposure while becoming increasingly cautious of stretched valuations. If AI is a gold rush, it's the hardware makers who sell the shovels: the firms providing the lasers, photonics, and semiconductor equipment that make the entire ecosystem function.

Exhibit 1

Lumentum Supply chain FY2025



Source: S&P Global Market Intelligence Quantitative Research & Solutions (QRS).

COGS: Cost of Goods Sold.

Data as of Oct 28, 2025.

At the base of that ecosystem are companies like TSMC, manufacturing the chips that power every inference and training run. To produce those chips, TSMC relies on KLA's metrology and inspection tools. KLA's systems depend on Lumentum's high-performance lasers. And Lumentum, in turn, relies on suppliers like Semtech for the precision components that make those lasers possible. Each link pushes demand forward and pulls capacity backward.

In November 2025, Lumentum's share price was up 165%¹ and reported record results for the July to September period with revenue of \$534 million, beating analyst consensus by 13.5%². During the earnings call, CEO Michael Hurlston announced ***"the highest revenue achieved in a single quarter in the company's 10-year history by significant margin, powered by AI demand spanning our laser chips and optical transceivers inside data centers."***

In late October, KLA, Lumentum's major customer, reported strong Q1FY26 results, with CEO Rick Wallace citing, ***"results reflect double-digit year-over-year revenue and EPS growth, and KLA is on pace for solid relative revenue growth compared to our industry in calendar 2025. The AI infrastructure buildout represents a profound change in high performance computing that will positively affect a wide range of industries over the coming years."*** And in late November, Semtech, Lumentum's key supplier, reported strong third-quarter results with

¹ From July 31st 2025 to November 25th 2025.

² Beating analyst consensus revenue estimates as of July 31st 2025

CEO Hong Hou emphasizing **“Our strong results this quarter reflect returns on our disciplined R&D investments and the deep and expanding partnerships we have established with our customers.”**

Lumentum had positive dual momentum on July 31, 2025, which signaled both strong customer demand and supplier capacity. KLA was purchasing more inspection equipment and Semtech was reliably supplying the components. All of this flowed into Lumentum's order book leading to significant outperformance and record results.

2. Results

Supply chain momentum formalizes how economic signals move through customer-supplier networks. Upstream momentum reflects demand flowing from customers to suppliers. Downstream momentum reflects supply stability flowing from suppliers to customers. This section shows that each signal generates persistent excess returns, and their combination produces substantially stronger performance than either direction alone.

2.1 Upstream Momentum: Transmission of Customer Demand

Upstream momentum measures how customer performance leads supplier returns. When customers grow, gain share, or report strong results, they place larger orders and improve revenue visibility for their suppliers. From 2005 to 2025, suppliers with the best-performing customers outperformed those with the weakest customers by 3.7% annually in the Russell 3000 (Exhibit 2). The effect strengthens materially in small caps, where slower information propagation and limited analyst coverage widen the gap between customer performance and supplier pricing. These returns are sector-neutral and persist after controlling for market, size, value, momentum and analyst revisions.³

Exhibit 2

Excess return performance of Upstream Momentum

Russell Universes | January 2005–August 2025

Test Universe	Avg Firm Count	Avg IC	Ann. Adjusted Long-Only	Ann. Adjusted Long-Short	Ann. IR Long-Only	Ann. IR Long-Short	Ann. Hit Rate Long-Only	Ann. Hit Rate Long-Short
Russell 3000	317	0.014***	2.0%***	3.7%***	0.74	0.96	60%***	64%***
Russell 1000	136	0.008**	1.4%***	2.0%***	0.61	0.55	56%**	57%***
Russell 2000	181	0.017***	2.8%***	5.0%***	0.70	0.91	60%***	60%***

As of Sept. 30, 2025.

*** Significant at the 1% level; ** Significant at the 5% level; * Significant at the 10% level.

For all exhibits, all returns and indices are unmanaged, statistical composites and their returns do not include payment of any sales charges or fees an investor would pay to purchase the securities they represent. Such costs would lower performance.

It is not possible to invest directly in an index. Past performance is not a guarantee of future results.

Source: S&P Global Market Intelligence © 2025 S&P Global

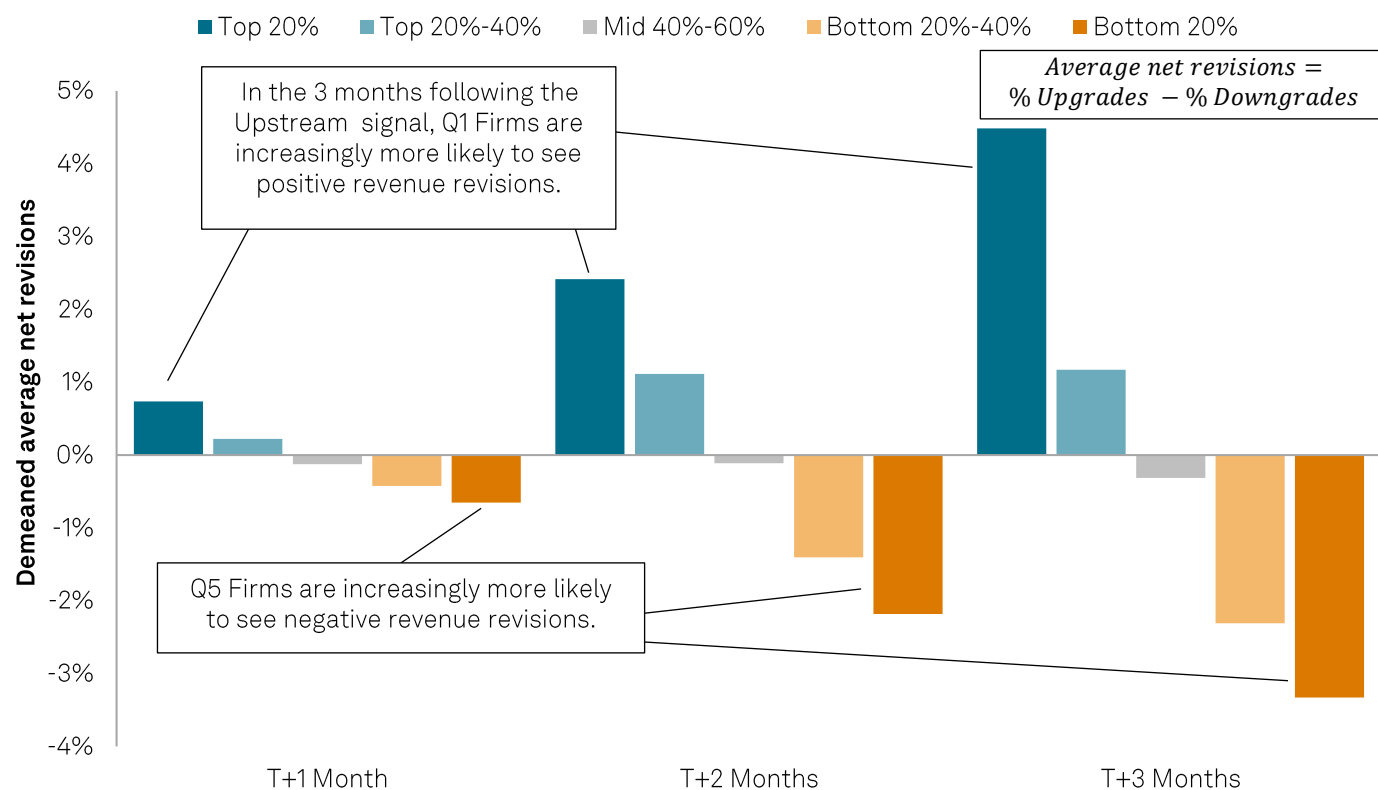
Upstream momentum also predicts subsequent changes in company fundamentals. Firms whose customers are performing well show systematically more favorable analyst revisions than those whose customers are deteriorating (Exhibit 3). Differences emerge within one month of signal formation and widen steadily over the next two months. By

³ See appendix for methodology details.

T+3 months, firms in the top upstream-momentum tier (Q1 - top 20%) exhibit a +4.5% net analyst revision rate, while firms in the bottom tier (Q5 – bottom 20%) show -3.3%. This monotonic spread indicates that analysts incorporate customer-driven demand information gradually. The delay aligns with the return premium documented earlier.

Exhibit 3

Russell 3000 - Unreported Companies Analyst Revenue Revisions post Upstream Momentum Signal



2.2 Downstream Momentum: Transmission of Supplier Stability

Downstream momentum captures how supplier performance affects customer outcomes. Strong suppliers provide stable pricing, reliable delivery, and capacity support, all conditions that help customers execute during tight supply environments. Over the same test period (Exhibit 4), downstream momentum generated 1.8% annual long-short returns in the Russell 3000 and 3.3% in the Russell 2000, both statistically significant.

The effect is economically meaningful, but smaller than upstream momentum, reflecting the more complex channel through which supplier information affects customer valuations. During the global financial crisis and the COVID pandemic, companies in the top 20% by strong performing suppliers outperformed those in the bottom 20% by more than 5% and 3% respectively. These results suggest that strong supplier performance coincided with better relative outcomes during periods of market stress.

Exhibit 4

Excess return performance of Downstream Momentum

Russell Universes | January 2005–August 2025

Test Universe	Avg Firm Count	Avg IC	Ann. Adjusted Long-Only	Ann. Adjusted Long-Short	Ann. IR Long-Only	Ann. IR Long-Short	Ann. Hit Rate Long-Only	Ann. Hit Rate Long-Short
Russell 3000	353	0.010***	1.3%***	1.8%***	0.57	0.61	55%**	58%***
Russell 1000	154	0.006**	0.4%	1.0%*	0.22	0.34	54%*	55%**
Russell 2000	199	0.010***	1.6%**	3.3%***	0.00	0.69	56%**	56%**

As of Sept. 30, 2025.

*** Significant at the 1% level; ** Significant at the 5% level; * Significant at the 10% level.

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2.3 Bidirectional Momentum: Amplification Through Dual Signals

Companies don't just experience momentum from one direction—they simultaneously receive demand signals from customers and supply signals from suppliers. To capture this dual information flow, firms were sorted into a 3x3 dependent sort: first by upstream momentum (high/neutral/low), then within each upstream tertile by downstream momentum (high/neutral/low), creating nine portfolios. The results reveal powerful amplification effects (Exhibit 5). Firms with strong customers and strong suppliers outperform, while firms with weak customers and weak suppliers exhibit the most negative returns. The pattern indicates that bidirectional confirmation contains information that neither direction captures on its own.

2.4 Economic Interpretation

Three themes follow directly from the empirical results.

- Upstream and downstream momentum capture complementary information.** Upstream momentum reflects changes in customer demand, while downstream momentum reflects supplier stability and capacity. Both signals generate statistically significant excess returns on their own, which indicates that they are not redundant, and each contain information about future performance that the other does not capture.
- Combining the signals strengthens predictability.** The dual-momentum portfolios outperform both standalone signals across the Russell 3000 and Russell 2000. Returns increase monotonically across the 3x3 grid, and high/high firms consistently outperform low/low firms. This pattern suggests that demand strength and supply-side stability reinforce one another when both are present.
- Effects are larger in smaller, less-covered firms.** Across all specifications, return spreads are meaningfully wider in the Russell 2000 than in the Russell 1000. This indicates that supply-chain information is incorporated more slowly in smaller companies, making upstream, downstream and dual momentum more powerful in that segment of the market.

Excess return performance of Upstream x Downstream Momentum

Russell 3000 | January 2005–August 2025

Russell 2000 | January 2005–August 2025

Russell 3000						Russell 2000			
Return (t-stat) [Hit Rate]		Downstream Momentum				Downstream Momentum			
		High	Neutral	Low	High minus Low	High	Neutral	Low	High minus Low
Upstream Momentum	High	1.81% ** (2.19) [53%]	1.79% ** (2.13) [56%**]	0.38% (0.44) [52%]	1.43%* (1.44) [54%*]	2.96% ** (2.14) [53%]	1.62% (1.17) [53%]	0.81% ** (0.61) [51%]	2.15%* (1.23) [52%]
	Neutral	1.87%*** (2.19) [57%***]	0.74% (1.00) [53%]	-0.51% (0.63) [48%]	2.38%** (2.16) [54%*]	2.17% ** (1.80) [56%**]	2.25% ** (1.71) [51%]	0.01% (0.05) [50%]	2.16%* (1.34) [56%**]
	Low	-0.12% (0.14) [47%]	-0.18% ** (0.2) [42%***]	-2.67%*** (2.89) [45%]	2.55%*** (2.44) [57%***]	0.01% (0.09) [50%]	-0.79% (0.58) [48%]	-3.74% *** (2.75) [44%**]	3.75%** (2.17) [55%*]
	High minus Low	1.93% ** (1.71) [56%**]	1.97%** (1.79) [58%***]	3.05%*** (2.46) [54%*]	4.48%*** (3.67) [56%**]	2.95%* (1.57) [56%**]	2.41%* (1.42) [52%]	4.55%*** (2.49) [57%***]	6.70%*** (3.50) [59%***]

As of Sept. 30, 2025.

*** Significant at the 1% level; ** Significant at the 5% level; * Significant at the 10% level.

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3. Conclusion

Supply-chain momentum shows that customer performance and supplier stability contain forward-looking information that markets incorporate slowly. By measuring these directional spillovers directly, investors can identify firms whose network position is improving, or deteriorating, before this is fully reflected in fundamentals or analyst revisions.

Upstream and downstream signals generate persistent excess returns on their own. When combined, they provide stronger and more reliable predictability, especially in areas of the market where information gaps are widest. These signals can be used as daily indicators, portfolio tilts or risk screens, offering a practical way to integrate network intelligence into quantitative and fundamental processes.

The overarching lesson is simple: supply chains transmit information before markets price it. Codifying those transmissions creates a durable source of investment insight.

4. Data & Methodology

Visible Alpha Estimates and S&P Capital IQ Estimates

The Visible Alpha Estimates dataset includes forecasts, assumptions and logic from internal sell-side models. This deep consensus data provides a quick understanding of the sell-side view on a company or industry at an unprecedented level of granularity, timeliness and interactivity. Leverage this data to gain a deeper understanding of what is driving a company's future performance through complete product, segment and industry forecasts.

The S&P Capital IQ Estimates dataset is the most comprehensive global estimates based on projections, models, analysis and research. This dataset can be used to evaluate earnings estimates to select stocks and manage investment performance and to track the direction and magnitude of upgrades and downgrades and more.

Business Relationships Analytics (BRA)

The Business Relationships Analytics (BRA) is a comprehensive dataset that captures disclosed business-to-business (B2B) relationships sourced from regulatory filings. It captures partnerships, supplier relationships and customer connections and provides structural visibility into corporate networks and the dynamics that can influence corporate performance and strategy. The dataset is enhanced through a patented process to estimate the economic significance of relationships, when that information is non-disclosed.

Momentum Factors: Momentum factors in BRA capture the pricing trends of the connected companies of the focal company. These factors are computed daily using price returns of the connections over a chosen holding period aggregated via weighted sums, where the weights are either decided by the dollar amount of the connection value, equally weighted, market-cap weighted or eigenvector weighted.

- **Upstream momentum (customer-to-supplier):** Aggregates the weighted stock price performance of a company's customers over a specified period, capturing demand-side signals that predict future order flow to the supplier.
- **Downstream momentum (supplier-to-customer):** Aggregates the weighted stock price performance of a company's suppliers over a specified period, capturing supply-side signals that indicate production capacity and operational reliability.

Network Characteristics: BRA is a directed graph with companies and edges, which correspond to the economic values, representing the relationship between a pair of companies.

- **Degree centrality**
 - In-degree: count of incoming connections to a node (e.g., number of suppliers when edges are directed supplier-to-customer).
 - Out-degree: count of outgoing connections from a node (e.g., number of customers under the same convention).
- **Weighted centrality (weighted in-/out-degree)**
 - Weighted in-degree: sum of the estimated dollar values for incoming connections (aggregate magnitude of supplier relationships into the node).
 - Weighted out-degree: sum of the estimated dollar values for outgoing connections (aggregate magnitude of customer relationships from the node).

- **Closeness centrality:** Measures how near a node is to other nodes in the network, typically calculated using shortest-path distances. Higher values indicate a node can reach others via fewer steps on average.
- **Betweenness centrality:** Quantifies the extent to which a node lies on shortest paths between other node pairs, indicating potential to intermediate value or information flow within the network without implying direct monetary transfers unless explicitly modeled.
- **Eigenvector centrality:** Assesses node importance based on connections to other important nodes. A node's score increases when it is connected to high-scoring nodes, capturing influence propagation in the network.

5. Appendix

The Quantitative Research & Solutions (QRS) team makes [source code available](#) for S&P Global marketplace users. No purchase necessary, [request a login now](#).

5.1 Extended Network Effects: Second-Degree Connections

Supply chain influence extends beyond immediate customer-supplier pairs. Companies connected through intermediate firms, second-degree relationships, may still transmit economically relevant signals, though with expected attenuation compared to direct connections. A supplier's supplier, or a customer's customer, represents a more distant but potentially material economic linkage.

5.1.1 Second-Degree Upstream Momentum

When adjusted for Fama-French factors and first-degree momentum, second-degree upstream momentum demonstrates persistent predictive power (Exhibit 10). In the Russell 3000, this extended network effect generated 2.0% annual long-short return. The small-cap universe again shows stronger performance at 3.0% annually, while large caps contribute a more modest 1.1%. The 58% hit rate in the Russell 2000 confirms that momentum propagates through multi-hop supply chain networks.

Exhibit 10

Excess return performance of Second-Degree Upstream Momentum

Russell Universes | January 2005–August 2025

Test Universe	Avg Firm Count	Avg IC	Ann. Adjusted Long-Only	Ann. Adjusted Long-Short	Ann. IR Long-Only	Ann. IR Long-Short	Ann. Hit Rate Long-Only	Ann. Hit Rate Long-Short
Russell 3000	300	0.007***	1.3%***	2.0%***	0.58	0.56	58%***	56%**
Russell 1000	128	0.004	0.3%	1.1%*	0.12	0.27	52%	54%
Russell 2000	171	0.009***	2.6%**	3.0%***	0.00	0.57	60%***	58%***

As of Sept. 30, 2025.

*** Significant at the 1% level; ** Significant at the 5% level; * Significant at the 10% level.

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Source: S&P Global Market Intelligence
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This finding has important implications. Firms may experience valuation pressure or support not only from their immediate customers, but also from customers-of-customers whose performance affects intermediate demand. A smartphone manufacturer's performance influences not only its direct component suppliers, but also the raw material suppliers to those component manufacturers.

The incremental nature of this signal—remaining significant after controlling for first-degree effects—suggests that markets incompletely process these extended network relationships. Investors focused on immediate customer lists may systematically underweight how broader demand patterns propagate through supply chain networks.

5.1.2 Second-Degree Downstream Momentum

Second-degree downstream momentum shows more selective performance (Exhibit 11). Russell 3000 generated modest 0.6% long-short returns, with statistical significance concentrated in small caps where Russell 2000 delivered 2.1% annually. Large-cap exposure shows no reliable effect, with Russell 1000 producing -0.3% returns and a 48% hit rate indistinguishable from random.

Exhibit 11

Excess return performance of Second-Degree Downstream Momentum

Russell Universes | January 2005–August 2025

Test Universe	Avg Firm Count	Avg IC	Ann. Adjusted Long-Only	Ann. Adjusted Long-Short	Ann. IR Long-Only	Ann. IR Long-Short	Ann. Hit Rate Long-Only	Ann. Hit Rate Long-Short
Russell 3000	336	0.005**	-0.1%	0.6%	-0.05	0.21	52%	54%*
Russell 1000	148	0.001	-0.03%	-0.3%	-0.01	-0.08	48%	48%
Russell 2000	187	0.006***	0.5%	2.1%**	0.00	0.44	50%	54%*

As of Sept. 30, 2025.

*** Significant at the 1% level; ** Significant at the 5% level; * Significant at the 10% level.

For all exhibits, all returns and indices are unmanaged, statistical composites and their returns do not include payment of any sales charges or fees an investor would pay to purchase the securities they represent. Such costs would lower performance. It is not possible to invest directly in an index. Past performance is not a guarantee of future results.

Source: S&P Global Market Intelligence

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This divergence likely reflects information processing capacity differences. Large-cap companies and their analyst communities may effectively incorporate extended supplier network information, eliminating exploitable mispricing. In contrast, small-cap companies with minimal coverage face persistent information gaps even for multi-degree supply relationships, creating opportunities for systematic strategies that map these extended networks.

The finding that second-degree effects exist primarily in less efficient market segments validates the information transmission hypothesis. Where markets process information efficiently (large caps), extended network effects are arbitrated away. Where information frictions persist (small caps), even distant supply chain relationships generate predictable return patterns.

5.2 Statistical Significance Testing

Statistical significance levels indicate the probability that observed results occurred by chance rather than reflecting a genuine relationship. Throughout this paper, we report three significance thresholds following standard academic convention:

- * (one asterisk): Significant at the 10% level - results have less than a 10% probability of occurring by chance (90% confidence)
- ** (two asterisks): Significant at the 5% level - results have less than a 5% probability of occurring by chance (95% confidence)
- *** (three asterisks): Significant at the 1% level - results have less than a 1% probability of occurring by chance (99% confidence)

For time series analysis of factor returns, we test whether excess returns and hit rates differ significantly from zero. A three-asterisk designation indicates the strongest evidence that a strategy generates genuine alpha rather than random variation. Results marked with one or two asterisks provide moderate evidence of predictive power, while unmarked results fail to achieve statistical significance and may reflect noise. These significance tests account for the time series properties of monthly returns over the 20-year sample period (January 2005 to August 2025), providing confidence that documented patterns are robust and systematic rather than artifacts of data mining or isolated periods of outperformance.

5.3 Risk-Adjusted Returns and Factor Controls

All excess returns reported in this paper are sector-neutral and controlled for common equity risk factors to isolate the incremental alpha attributable to supply chain momentum signals. Sector-neutral construction ensures equal representation of sectors across all quintiles, eliminating the possibility that returns are driven by sector allocation rather than supply chain dynamics. Returns are further adjusted for:

- **Market factor:** Overall equity market movements (market beta)
- **Size factor:** Small-cap versus large-cap performance differences
- **Value factor:** Book-to-market ratio effects
- **Momentum factor:** Traditional price momentum effects
- **Analyst revision factor:** Changes in sell-side earnings estimates

This rigorous adjustment framework ensures that documented alpha from upstream and downstream momentum represents genuine information content from supply chain relationships rather than exposure to well-known return drivers. The persistence of statistically significant excess returns after these controls demonstrates that supply chain signals capture distinct, economically meaningful information not reflected in traditional factor models or fundamental analyst research.

Our recent research

For our full catalog of published research, click [here](#).

- **[October 2025: Margin Math: A \\$1.2 trillion expense propagates through supply chains in 2025:](#)** Companies are now expected to pay at least \$1.2 trillion more in 2025 expenses than was anticipated on Jan. 1. Revenue expectations have risen, but earnings expectations have fallen, producing a 64-basis-point contraction in margin, according to 15,000 sell-side analysts contributing to the S&P Capital IQ and Visible Alpha Estimates. If the pattern holds for firms without sell-side coverage, the cost shock would exceed \$1.2 trillion in lost profit.
- **[September 2025: Familiar signal, new context:](#)** Large language models (LLMs) have garnered widespread attention for their ability to understand natural language. Their application in equity investing, however, remains in its infancy due to novelty and cost. This study leverages LLM-extracted features from earnings call transcripts and transforms them into actionable stock selection signals. These features are significantly correlated with their traditional (rules-based) NLP counterparts, the lexicon-driven approach that flags and scores individual phrases as positive or negative, confirming that both approaches measure the same ‘ground truth.’ The added computational cost and opaqueness of the LLMs appear justified: a fine-tuned LLM-based sentiment strategy would have delivered twice the long-short return performance (LLM 8.4% versus lexicon 4.2%), with a notable advantage in recent years as mispricing opportunities have narrowed.
- **[July 2025: When Headcount counts: How Investors are Pricing Scale and Story:](#)** While headlines fixate on AI replacing workforces, investors are betting big on the people building and using it. Venture capital and corporate buyers are backing late-stage AI firms at steep premiums. This research introduces a new framework for decomposing deal value into three components: industry enthusiasm, workforce scale and firm-specific differentiation. By tracking how these drivers have evolved over time, the analysis reveals shifting investor priorities, growing premiums for thematic exposure and early signals of momentum embedded in deal value outliers.
- **[April 2025: Tariff Tools in Action: Tracking Impact with Data:](#)** Tariffs have dominated investor discourse since April 2, 2025, when US President Trump announced sweeping tariff reform. This nowcasting report leverages real-time data from S&P Global’s proprietary datasets to generate 11 visualizations, providing a snapshot of evolving market risks in a volatile tariff landscape, with updates to follow as the situation progresses.
- **[January 2025: Three Tools for Trump Tariffs 2.0:](#)** Tariffs create uncertainty for investors, executives, and policymakers. In an unpredictable environment, leveraging data effectively offers a competitive advantage. This paper explores three tools designed to monitor and anticipate the impacts of potential tariffs enacted during President Donald Trump’s second term in office.
- **[January 2025: Questioning the Answers: LLMs Enter the Boardroom:](#)** Earnings call Q&A sessions offer a unique lens into executive behavior. This paper analyzed 192,000 earnings calls using Large Language vector embeddings to evaluate executive proactiveness and alignment with discussion topics. The finding highlights the long-term value created by transparent and well-prepared response. A long/short strategy, based on firms with proactive/reactive and on/off topic executives, generated statistically significant alpha, with low correlation to other NLP-derived factors.

- [**January 2025: Banking on Industry Data: Navigating the Ebbs and Flows of the Banking Sector**](#): Over the past two decades, the US banking sector has experienced periods of both exuberance and turbulence, shaped by historic events such as the 2000s housing boom, the subsequent subprime crisis, the passage and eventual revision of the Dodd-Frank Act, regional bank runs, and, more recently, expectations of a more favorable regulatory environment and pro-growth policies.
- [**December 2024: From Compliance to Competitive Edge: How Tech CEOs Changed Their Tune on Sustainability Initiatives**](#): Technology is transforming business at breakneck speed. Artificial intelligence (AI) is everywhere, and every firm wants a bigger slice of the market. But there is another conversation unfolding in parallel, less glamorous yet just as urgent: sustainability. Data centers gulp down energy. New tech initiatives come with a cost to the planet. An analysis of earnings calls from U.S. and European technology giants over the last eight years reveals a shift in mindset. Sustainability is no longer a checkbox, it's a strategy, and it's shaping the future of tech.
- [**October 2024: Goldilocks and the Three Market Trends Shaping Q3 2024: Earnings, AI Adoption, Price Stability Take Center Stage**](#): The second quarter of 2024 marked the light at the end of the tunnel. Inflation fears subsided, and the economy stabilized. Deflation concerns and contraction risks appeared to be under control. Sentiment across S&P 500 firms hovered at a 15-year high. As the third-quarter earnings season commences, key market trends to monitor are: i) Will the overall sentiment continue to hover at a 15-year high? ii) Can firms meet the robust financial outlook from the Q2 earnings season? iii) Will AI deliver the promised economic boost, or will geopolitical unrest and exogenous shocks, such as the ILA port strike and its temporary postponement, take the US economy on a detour from entering a Goldilocks state?
- [**August 2024: Bonding with Style Investing: Value and Momentum in Corporate Bonds**](#): The application of 'smart beta' strategies is expanding into corporate bonds, beyond its equity roots. This paper explores value, momentum, and short-term reversal styles in fixed income, highlighting the potential to enhance returns and diversify portfolios. The analysis shows that value and momentum strategies in iBoxx US investment-grade (USIG) and high-yield (USHY) bonds generated statistically significant alpha, with low correlations to the comparable equity styles and markets premia.
- [**July 2024: Calm Markets, Confident PE Executives: Private Equity Earnings Calls Reflect Renewed Optimism in Q1'24**](#): Stable public markets are the secret to private equity (PE) optimism. An NLP analysis of publicly-traded PE firms' first-quarter 2024 earnings call transcripts reveals a significant rebound in PE confidence over the last two years. After peaking in the third quarter of 2021, PE executives' sentiment declined in 2022 as inflation, geopolitics and fed-driven volatility ended a post-COVID calm. However, with rates finding footing, Global PMI at a 12-month high and volatility subsiding, PE sentiment in the first quarter reflects renewed optimism. This quarter, PE executive sentiment surged to its second-highest level in 57 earnings seasons, underscoring the inverse relationship between market turbulence and PE industry morale.
- [**April 2024: Data Arbitrage with Proprietary Dividend Forecasts - Historically Precise Updates Led to U.S. Outperformance**](#): Sell-side forecasts tend to focus on the top- and bottom-line and are often slow to reflect new dividend policies. Our empirical results have shown that S&P Global Market Intelligence's Dividend Forecasting dataset has historically captured these dividend revisions in both a precise and timely manner, providing investors with

an informational edge. This publication details how practitioners can leverage the dataset for equity investing in the US market when the in-house fiscal first-quarter forecasts diverge from their sell-side counterparts.

- **March 2024: Executives Exuberant Amid “Rightsizing” Workforce - An NLP Analysis of the Q4’23 Earnings Season:** AI, geopolitics, labor ‘rightsizing’ (and other layoff euphemisms), and a sanguine tone characterized the 2023 fourth-quarter earnings season. Nvidia is riding the AI wave and pulling its connected network along with it. An NLP analysis of earnings call transcripts was used to quantify the discussion.
- **March 2024: Elusive Parity: Key Gender Parity Metric Falls for First Time in 2 Decades:** The growth in women’s representation among senior corporate positions, once a bright spot for gender parity, potentially faces an alarming turning point. Exponential growth over a decade is showing signs of losing momentum. Growth no longer appears exponential. A waning focus on diversity initiatives suggests a potential inflection point and calls our previous gender parity estimates into question.
- **February 2024: Deal Sourcing: A Data Science Approach - Impact of Financial Characteristics on Acquisition Likelihood:** Deal sourcing is hard. Finding a target for acquisition has been likened to finding ‘a needle in a haystack.’ Company financials are a valuable starting point for systematic identification of acquisition targets. This publication provides actionable insights and a detailed blueprint on how practitioners can leverage computational finance for deal sourcing. Specifically, five firm-level financial dimensions are identified that differentiate targets from their comparable non-targets based on global data from the most-recent 10 years.

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